The Global
Relief Initiative
Creating Financial Freedom
the smart way

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CHAPTER 1
What is happening in the Global Economy?

The International Monetary Fund (IMF) released their latest findings in the *World Economic Outlook* report - **Countering the Cost-of-Living Crisis**, published in October of 2022. And if you have never heard of the phrase, "Behind the 8 ball," this refers to being in a difficult situation. As you can see from the excerpt below, from the Forward of their report, re-printed under Fair Use for research, ***the worst is yet to come.***

"As storm clouds gather, policymakers need to keep a steady hand. The global economy continues to face steep challenges, shaped by the lingering effects of three powerful forces: the Russian invasion of Ukraine, a cost-of-living crisis caused by persistent and broadening inflation pressures, and the slowdown in China. Our latest forecasts project global growth to remain unchanged in 2022 at 3.2 percent and to slow to 2.7 percent in 2023—0.2 percentage points lower than the July forecast—with a 25 percent probability that it could fall below 2 percent. More than a third of the global economy will contract this year or next, while the three largest economies—the United States, the European Union, and China—will continue to stall. ***In short, the worst is yet to come, and for many people 2023 will feel like a recession.***"

You can download the entire free report here https://www.imf.org/en/publications/weo

Rising Global Inflation

Inflation has emerged as one of the primary concerns for the global economy two years after the pandemic started. And in fact, some would say that central banks sparked the inflation crisis when they loosened monetary policy in the early days of the COVID-19 pandemic.

What is Inflation?

Inflation is a rise in prices which triggers the decline in purchasing power. Therefore, inflation is a measure of purchasing power and is defined as the rate at which the prices of

products and services change over a given period of time, usually a year. The rise in prices, which is often expressed as a percentage, means that a unit of currency effectively buys less than it did in prior periods. And when inflation is high, consumer spending declines because when prices go up, people cannot afford to buy as much as they once could. And for those who are less well-off, inflation can be debilitating and could lead to people struggling to afford basic necessities such as food and shelter.

Inflation can also be very hard for people on fixed incomes. Their incomes will not be able to keep up with the price increases and at some point, they will end up buying less or not at all. For some, they may have to cut back on non-necessities like travel, movies, or eating out. But eventually, they could be facing the fear of having to make decisions about necessities like utilities, shelter, and food they can no longer afford.

Inflation affects everyone in the global economy. When inflation is high, consumers will spend more time looking for the best deals and what they can afford and manufacturers will have to consider how much they are going to mark up their prices to cover the costs to produce their products or services, which is then passed on to the consumer.

What are the Causes of Inflation?

An increase in a country's money supply is the primary cause of inflation. However, this can be the result of different mechanisms that a country may use such as; printing and giving away more money to citizens, legally devaluing the country's currency, loaning new money into existence as reserve account credits, and purchasing government bonds from banks on

the secondary market. However, because of the pandemic and lockdowns, globally, we are now facing supply chain disruptions and are feeling the sting from federally funded unemployment.

The world appears to be heading for an acceleration of inflation that hasn't been seen in the past 40 years. The biggest increase in inflation since 1982 occurred in the United States in December of 2021, when it hit 7% year over year. The eurozone's inflation rate rose to 5.1% in January of 2022, the highest level since harmonized statistics were introduced in 1997. And although the history of inflation in Latin America has been different, there has been an acceleration there since the beginning of 2021.

Starting with rates in Brazil, Mexico, and Chile in the range of 3–4%, they have advanced to rates of 10% in the former and 7% in the latter two. When we look closely at the factors causing inflation in the different regions, there are definite indications of the existence of so-called “supply inflation” which is caused by rising energy costs and supply chain bottlenecks that are largely attributable to the cessation of operations during times of the lockdown in many countries and, subsequently, the recovery of the economy.

Good or bad news?

It could be argued that the fact that supply is a factor in global inflation at the moment is advantageous, but yet paradoxically bad news, as well. Why is this good news?

Because prices typically tend to return to their pre-disruption levels as soon as the underlying causes of the disruption are addressed, as was the case in the famous Oil Price Crisis in the middle of the 1970s, possibly the most significant global supply inflation event, which allowed economists to become familiar with the phenomenon of “stagflation”. However, the bad news is that it is unclear how long these disruptions to global supply chains will last because this depends on many factors including the possibility of a resurgence of the same or even a new pandemic, for example.

Inflation-controlling mechanisms

The fact that supply inflation's “cure” is not very simple is arguably its most difficult aspect. In order to slow down economic activity in the event of demand inflation, monetary policy must be used, such as by raising interest rates. On the other hand, supply inflation presents a conundrum that frequently puts those in charge of economic policy in a difficult position. If they take steps to restrain aggregate demand and combat inflation, they may put the economy at risk of trying to enter a recession, which in this case would weaken the global economy.

And to make matters even more complicated, an inflationary process occasionally starts on the supply side but develops propagation mechanisms if it persists over time. These are the so-called “second-round effects” of wage negotiations that have been adjusted to reflect the higher level of prices, as well as the widening of profit margins that aim to pass on the rise in intermediate costs to final prices.

As the supply factors that contributed to the surge in inflation vanish, inflation is anticipated to moderate slightly. However, we are unsure of how much inflation control central banks will need to implement in the interim. Greater evils can be avoided by taking action to combat inflation early on, but doing so is also expensive.

Hans F. Sennholz (1922-2007), former president of the Foundation for Economic Education, wrote in his article entitled, *Some Evils of Inflation*, published in May of 1985, "Inflation breeds great evil, whether you define it as rising goods prices, as an increase in available currency and credit, or as an abnormal increase beyond available goods, resulting in a visible rise in prices. Of all injustice, inflation is one of the greatest as it devours the possessions of millions of hard-working people. And no matter who is perpetrating it, the courts of law actively collaborate with the perpetrators by upholding the evil and declaring it constitutional, equitable and fair. A dollar is a dollar, they proclaim, you shall accept a 10-cent dollar in payment of a 100-cent debt."

The Role of Central Banks

The IMF describes the role of central banks as follows:

"Central banks play a crucial role in ensuring economic and financial stability. They conduct monetary policy to achieve low and stable inflation. In the wake of the global financial crisis, central banks have expanded their toolkits to deal with risks to financial stability and to manage volatile exchange rates. In response to the COVID-19 pandemic, central banks used an array of conventional and unconventional tools to ease monetary policy, support liquidity in key financial markets and maintain the flow of credit."

Essentially, when inflation is too high, the central banks typically raise interest rates to slow the economy and bring inflation down. When inflation is too low, the central banks typically lower interest rates to stimulate the economy and to increase inflation. However, what "typically" worked in the past may not work the same way today and in fact, some believe that the Federal Reserve, the central bank for the United States has put themselves in a very difficult situation which in turn is being felt by the American people.

The Federal Reserve Stability Report, released in November 2022, states the following:

"Since the May 2022 Financial Stability Report was released, the economic outlook has weakened and uncertainty about the outlook has remained elevated. Inflation remains unacceptably high in the United States and is also elevated in many other countries. Central banks around the world, including the Federal Reserve, have tightened monetary policy in response. A weaker outlook, higher interest rates, and elevated uncertainty have contributed to a substantial tightening in financial conditions."

And according to *Elliott Management*, a major hedge fund that manages nearly $56 billion in assets, "The world's worst financial crisis in decades may be right on our doorstep. Rising inflation and the largest interest rate hikes globally in two decades have set the stage for the biggest economic upheaval since World War II."

In a recent letter to clients, reported by the Financial Times, Elliott warned its clients about, "a unique and extraordinary set of economic conditions that is steering the globe toward a crisis worse than any of the stock market crashes or energy shocks of the past 70 years."

And while Elliott mentioned that this dire situation was not guaranteed to happen, some degree of economic downturn, beginning next year in 2023, is looking increasingly likely as central banks, including the U.S. Federal Reserve, have responded to rising inflation with aggressive interest rate hikes that international institutions including the World Bank and the United Nations have warned could trigger a global recession. But the outcome could be even worse than that, according to Elliott, which claimed central banks sparked the inflation crisis when they loosened monetary policy in the early days of the COVID-19 pandemic.

CHAPTER 2
What is Universal Basic Income?

Universal Basic Income (UBI), also known as basic income, is a social service model that provides all citizens of a country a small monthly or annual stipend, which each person receives regardless of their employment status, income, or any other qualifying factors. UBI aims to reduce poverty and increase the quality of life among all citizens. As of early 2022, no country has implemented a truly universal basic income model although a few have launched similar programs, specifically designed to aid the neediest individuals.

Universal basic income models differ in their sources of funding, amounts distributed, and other dimensions. In a true UBI model, every adult citizen would receive a set amount of money on a regular basis under the universal basic income (UBI) program, which is run by the government. The objectives of a basic income system are to reduce poverty and to take the place of other need-based social programs that might involve more bureaucracy. As automation replaces more and more workers in the manufacturing industry and other areas of the economy, the concept of universal basic income has gained traction in the United States.

Learning about Universal Basic Income (UBI)

The idea that all members of society should receive a basic income has existed for centuries. In his best-known work, *Utopia*, the English philosopher and statesman Thomas More from the 16th century makes reference to the concept. Thomas Paine, a pamphleteer, whose ideas contributed to the American Revolution, proposed a tax system that would generate income for the government that would be distributed to "every person, rich or poor." Additionally, Martin Luther King Jr. advocated for "guaranteed income" in his 1967 book, *Where Do We Go From Here: Chaos or Community?*

The Earned Income Tax Credit (EIC), Temporary Assistance for Needy Families (TANF), and other federally funded programs help low-income Americans financially, but the United States has never established a universal income system. But in recent years, the idea has become more widely recognized. The growth of automation, which threatens to deprive many Americans of jobs that pay a living wage, is one of the key factors driving this interest.

One-quarter of all U.S. jobs, according to a Brookings Institution report from 2019, are vulnerable to automation. The researchers contend that occupations requiring more routine work, such as those in manufacturing, transportation, office management, and food preparation, are most at risk. A guaranteed payment from the government, according to advocates of universal basic income, can help ensure that those who are left behind by this economic transformation do not fall into poverty.

Even if the income received from the government is insufficient to support them, it might be able to supplement their income from the lower-paying or part-time jobs they are still able to find. A universal payment system, according to supporters, would make it simpler for those who are in need of assistance but have trouble qualifying for other government programs to get it. For instance, some Americans requesting disability insurance payments might not have access to the healthcare system, making it difficult for them to substantiate their impairment.

UBI has political support

Many of UBI's supporters are on the left of the political spectrum, including Andy Stern, a former leader of the influential Service Employees International Union, and former Labor Secretary Robert Reich. However, a number of well-known figures on the right have also endorsed support for a government-provided income stream. One of them is the late conservative economist Milton Friedman, who opined that private donations to charities won't be sufficient to ease the financial strain that many Americans experience.

Criticism of UBI

Despite its claims to reduce poverty and bureaucracy, universal basic income still has a long way to go. Perhaps the most obvious drawback is the price. The non-profit Tax Foundation estimates that Andrew Yang's proposal of a $1,000 monthly Freedom Dividend for each adult would cost $2.8 trillion annually (minus any offsets from the consolidation of other programs). Yang suggested reducing the scope of other social programs and levying a 10% value-added tax (VAT) on businesses as a way to partially offset that significant cost.

He also suggests eliminating the Social Security payroll tax cap and enacting a carbon emissions tax to fund his guaranteed income plan. However, there is disagreement over whether or not those proposals are sufficient to completely offset the cost of the Freedom Dividend. Yang's ideas for raising money, according to a Tax Foundation analysis, would only partially offset the overall impact on the Treasury.

The argument that an income stream that is not dependent on employment would create a disincentive to work is one of the other criticisms of UBI. That has also been a topic of discussion. Yang has asserted that his proposal to give $12,000 annually wouldn't be sufficient to support a family. Adults would therefore need to supplement the payment with other sources of income in the vast majority of cases.

Recent research indicates a tenuous connection between UBI and unemployment. For instance, a 2016 study by MIT and Harvard researchers discovered that "cash transfer" programs in the developing world had little discernible influence on employment behavior.

However, there is little evidence to support the claim made by some of the universal basic income's proponents that it would actually boost employment if it replaced traditional welfare payments. Unemployment benefits were effectively replaced by universal basic income during a recent two-year experiment in Finland, and the results showed that UBI recipients had the same chance of finding new employment as the control group.

In the past four decades, many countries including Finland, Canada, the United States, and Brazil have discussed and debated UBI models. Many governments and private organizations have gone on to implement pilot programs such as the Alaska Permanent Fund, in the United States, which has awarded each of its citizens a portion of the state's oil and gas revenues (roughly $1,000-2,000 per year) since 1982. The Bolsa Família social program, in Brazil, established in 2004 delivers a stipend worth roughly 20% of minimum wage to the neediest 25% (or so) of Brazil's people. And in Santo Antônio do Pinhal, all residents who have lived there a minimum of five years receive a portion of the city's tax revenue.

The Basic Income Earth Network (BEIN) is one of many groups devoted to the promotion and implementation of universal basic income in countries around the world. However, to date Finland is the only country that has managed to complete a nationwide randomized control trial of a basic-income program. In 2016, Finland launched a basic income experiment with 2,000 randomly selected unemployed citizens, who were each given 560 euros ($640) monthly which did not require the ongoing paperwork involved with maintaining proof of unemployment eligibility. Nevertheless, more research on UBI is required before it is universally accepted.

CHAPTER 3

Are we going to become a Cashless Society?

Ever wonder if our society is going completely cashless? Maybe you've been shopping lately and noticed that more and more businesses are only accepting plastic or digital payments.

Your neighbor's talking about it, the frenzied news media is talking about it—so, what's the deal with all this cashless society talk? Are coins and cash becoming extinct forever? And how would a society without cash differ from the one where we currently use digital currencies? There are many questions here, so let us begin.

What is a Cashless Society?

In a cashless society, digital currency completely and entirely replaces all forms of physical money, including debit and credit cards, as well as cash, checks, and coins. You might be asking yourself, “Wait, don't we already live in a cashless society?” And if so, you are not entirely mistaken. Although cash is still king, many people choose to use debit cards, PayPal, Venmo, Zelle, Apple Pay, and even the one that shouldn't be named to make their daily purchases because of the convenience factor (credit).

Consider this: Unless you strictly adhere to the tried-and-true envelope system, when was the last time you actually paid for everything with cash? According to Pew Research, 29% of Americans make zero cash purchases during a typical week. But it's not all that shocking.

Many of us use our debit cards to make all of our purchases, and we load up our wallets with rewards cards, pictures, and other items, other than cash. A truly cashless society, however, is very different from that. In this society, there is no such thing as cash, nobody is paid “under the table,” and every transaction you make can be tracked.

Why all this talk about a Cashless Society?

Even before COVID-19 there has been talk of a cashless society but since the pandemic, people were reluctant to touch anything that had previously been touched by someone else (without it being sanitized first). So, what is one of the dirtiest, germiest things that people can easily spread to one another? Hint: It features portraits of presidents. That's accurate. Money! We are not talking about virtual currencies here, we are talking about actual cash and coins. Businesses quickly came to the conclusion that they did not want their cashiers handling money from every customer who walked into the store. Therefore, to stop the spread of germs, they began pushing for cashless transactions, using cards only. And because it seems safer, signs like “cards only” and “no cash accepted” started to appear at shops across the nation.

Does this have something to do with the Coin Shortage?

Most likely, you are already aware of the significant American coin shortage that followed the pandemic. And if you combine the terms “cashless society” and “coin shortage,” you can understand how people would put the two together but here is what happened.

A coin shortage is not particularly surprising when people stop using cash to make purchases. But when you consider that there were no transactions involving coins during the times that businesses were closed, there was a “shortage” of coins. Even when people did buy things, they didn't pay with cash or coins. Additionally, there were fewer employees working for the U.S. Mint, which produces the coins, during the pandemic.

And when businesses resumed operations, there were more coins needed than there were in circulation. In other words, the real issue wasn't a shortage of coins per se, but rather a lack of movement of coins within the economy as a whole. All of those issues together constitute a significant circulation issue.

Did the COVID-19 Pandemic lead to a Cashless Society?

No, we are not there yet. And even though we use less cash, there is a long way to go before our society is entirely cashless. But while we are not yet a cashless society, consider how much of your current finances are virtual. On payday, if you have it set up this way, you will find a direct deposit from your employer in your bank account. And you never actually saw the money, as it was never physically transferred. And the only way you can even be sure you received payment is because some ones and zeros tell you so. Or consider credit card companies who reward you for using their cards. Additionally, you probably use apps like Zelle, PayPal, or Venmo to pay your family and friends and even for your online purchases.

So, while it may appear that we are becoming a cashless society, the truth is we may not be far off. And while we are being slowly conditioned, getting used to not using cash, if the paper money does go away, it won't be such a far fetched idea.

What is the Central Bank Digital Currency (CBDC)?

While people have long held money predominantly in digital form—for example in bank accounts, payment apps or through online transactions—a Central Bank Digital Coin, also knows as CBDC or Fedcoin, for the U.S., would differ from existing digital money available to the general public because a CBDC would be a liability of the central bank, not that of a commercial bank. This means that the central banks would be in control of your money, in conjunction with government agencies.

CBDCs are digital tokens, similar to cryptocurrency, issued by a central bank. They are pegged to the value of that country's fiat currency. Currently, there are over 100 countries exploring or piloting CBDCs and some have even implemented them. And like all other cryptocurrencies, they could operate on the blockchain with the support of the government. This is quite different from the cryptocurrencies that do not have government backing, which ironically, is one of the main reasons why so many people are immersed in cryptocurrency, because a central bank does not control it, as they would the CBDC.

What is the background to all of this?

The mining and investment boom in cryptocurrencies, which are not state-controlled, has governments scrambling to come up with a viable response. However, along with this governmental control, comes an even greater lack of privacy, as you might have with cash or even a technological breakdown which would prevent us from being able to use our CBDC.

In the Fintech Notes paper issued by the IMF in February of 2022 called, *"Behind the Scenes of Central Bank Digital Currency - Emerging Trends, Insights, and Policy Lessons"*, the IMF is actively evaluating CBDCs and working with those few countries who have issued CBDCs or undertaken extensive pilots or tests. In this paper, the spotlight is on six countries that are at the frontier in hopes of identifying and sharing insights, lessons, and open questions for the benefit of the many countries that will follow in their footsteps.

It is also important to note that this is not a one size fits all and that these countries have different national contexts and their CBDC projects are at different stages of development. See Box 1 below, for a quick overview of where they currently stand. Thus, the information that central banks can provide differs. According to the IMF, whether or when these projects, except for that of the Bahamas, eventually evolve into an officially launched CBDC offered to the general public remains to be seen.

The chosen CBDC projects fall into the following categories:

A CBDC is already issued. Selected project: Central Bank of The Bahamas (CBOB).

A pilot CBDC has been or is being tested involving actual households and firms. Selected projects: People's Bank of China (PBOC), Eastern Caribbean Central Bank (ECCB), and Banco Central de Uruguay (BCDU).

A CBDC project has been brought onto the country's political agenda and is being analyzed by government or parliamentary bodies outside of the central bank. Selected project: Sveriges Riksbank.

The central bank has carried out a CBDC project and decided against issuing a CBDC for the time being. Selected project: Bank of Canada (BOC).

Major Challenges and Hindrances

Investigating, testing, and even launching CBDC comes with its challenges. The central banks studied in this paper raise several common themes.

Lack of precedents: Several central banks pointed out the difficulty of designing a project where there is little or no experience, nor established standards. However, prior research, even if conceptual, was of value to guide choices along the way. The central banks all emphasize the need to continue learning and experimenting.

Lack of resources: As demonstrated in this paper, CBDC projects are resource-intensive and become even more so as their scale increases. Thus, the PBOC raises resources as a constraint. Likewise, resource constraints are one of the key reasons why Uruguay has not yet launched a second e-peso pilot. Staff at the ECCB also stated that the financial cost of the DCash project has been one of the major obstacles to overcome.

Unwillingness to adopt digital payments among the population: Some jurisdictions mentioned that part of the population is suspicious about CBDC and digital payments in general. The CBOB has pointed out that part of the population still does not trust that their money is safe if converted to Sand Dollar and that they are concerned about privacy issues.

Legal issues: The need to make amendments or change laws and regulations is mentioned as one of the key obstacles by several jurisdictions.

Cyber security: The PBOC said that the risks from cyberattacks are substantial if the e-CNY becomes a crucial payments system. Creating an acceptable level of cyber security is one of the main challenges it sees.

Technological uncertainty: As technology is still developing, choosing the best technology is deemed a challenge. For instance, ECCB staff were uncertain whether DCash's DLT technology was sufficiently scalable to meet the demands of large-scale adoption. It is therefore open to considering another model.

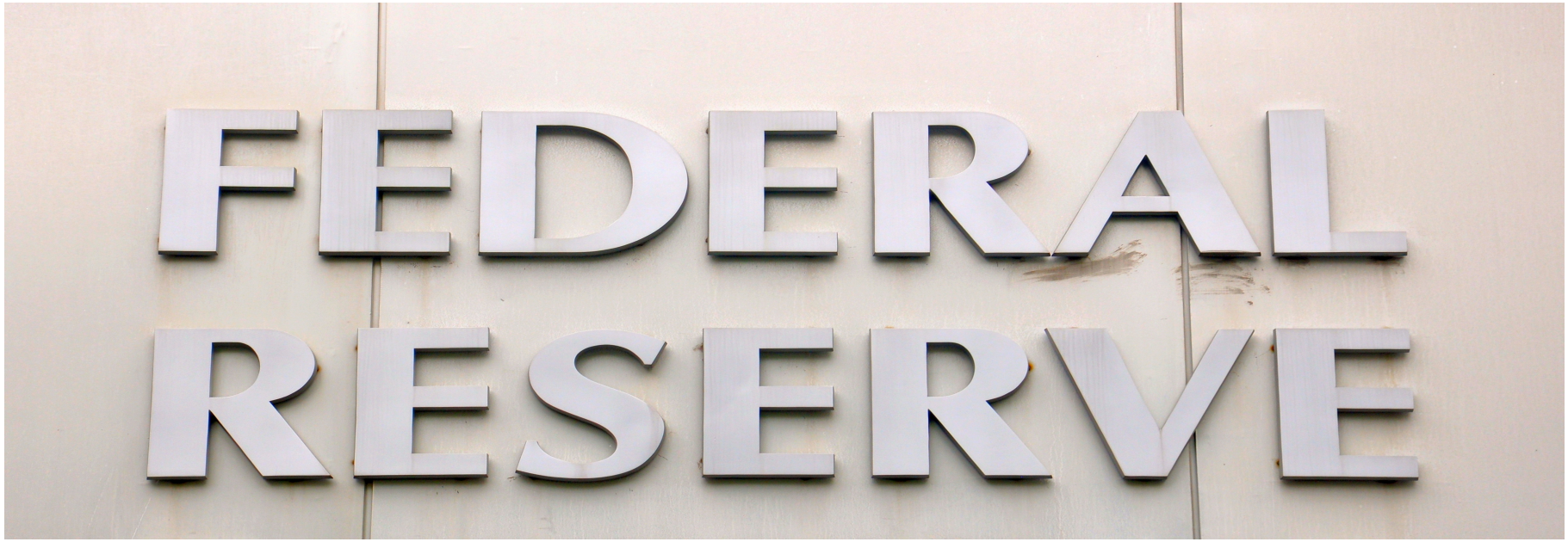
Please see the Box 1. on the next page to see where these countries stand as of the issuance of this paper.

BOX 1. Current Status of CBDC Projects

- *CBOB, Sand Dollar:* The Sand Dollar was officially launched in October 2020. In late 2021, there were around 20,000 active Sand Dollar wallets in a population of about 400,000, and functions are continuously being developed.
- *BOC:* The BOC has not found a pressing case for a digital currency given the present state of the Canadian payments system. However, it continues to build the technical capacity to issue a CBDC, and monitor developments that could increase its urgency.
- *PBOC, e-CNY:* No formal decision has been taken to launch the e-CNY. The PBOC runs a pilot in parallel in different regions. By October 2021, there were over 123 million e-CNY wallets registered with individuals and about 9.2 million wallets held by firms—a rapid increase from approximately six million active e-CNY wallets in April 2021. In a population of nearly one and a half billion, the share of e-CNY users is now approaching 10 percent.
- *ECCB, DCash:* No decision has been made to formally issue DCash. In March 2021, the ECCB launched a pilot program to successively extend DCash throughout the countries of the Eastern Caribbean Currency Union (ECCU) and run the program for 12 months. Given its rapid adoption, ECCB is now considering transitioning to an official CBDC launch.
- *Sveriges Riksbank, e-krona:* No decision has been made to issue the e-krona. The Riksbank has developed a proof of concept and is exploring technological and policy angles of CBDC. A government inquiry is investigating the role of the state in the digital payments system, including the potential role of a CBDC.
- *BCDU, e-peso:* After ending a pilot in 2018, the BCDU has changed leadership and has opted to not pursue a second pilot due to other priorities and a lack of resources. Potentially, a second pilot will be launched in the future.

International Monetary Fund—Fintech Notes

You can download the full report HERE.



The Federal Reserve and the CBDC

While at present the Federal Reserve, the central bank for the United States, has neither issued a CBDC nor plans to do so imminently, there has been much talk about the pros and the cons of the United States having a CBDC. However, on March 9, 2022, President Biden issued an Executive Order on Ensuring Responsible Development of Digital Assets. This executive order outlined the first whole-of-government approach to addressing the risks and harnessing the potential benefits of digital assets and their underlying technology.

The Federal Reserve has been working with government agencies to develop frameworks and policy recommendations that advance the **six key priorities** identified in the executive order: consumer and investor protection; promoting financial stability; countering illicit finance; U.S. leadership in the global financial system and economic competitiveness; financial inclusion; and responsible innovation.

The order requires an exploration of a U.S. Central Bank Digital Currency (CBDC) by placing urgency on research and development of a potential United States CBDC, should issuance be deemed in the national interest. The order directs the U.S. Government to assess the technological infrastructure and capacity needs for a potential U.S. CBDC in a manner that protects Americans' interests. The order also encourages the Federal Reserve to continue its research, development, and assessment efforts for a U.S. CBDC, including development of a plan for broader U.S. Government action in support of their work.

This effort prioritizes U.S. participation in multi-country experimentation, and ensures U.S. leadership internationally to promote CBDC development that is consistent with U.S. priorities and democratic values. President Biden gave the heads of federal agencies including the Treasury Department, the Justice Department, and Homeland Security 180 days to come up with a report on how the new digital currency would work. He also asked the chairman of the Federal Reserve, Jerome Powell to develop a strategic plan for the Federal Reserve and broader United States Government action on CBDCs.

At the Singapore FinTech Festival on November 4, 2022, Michelle Neal, executive vice president, head of the Markets Group, and member of the Executive Committee at the Federal Reserve Bank of New York gave a speech entitled, *Advances in Digital Currency Experimentation* where she stated, “The executive order will be a catalyst to increased coordination among U.S. regulators. Last month, as part of the approach outlined in the executive order, the Financial Stability Oversight Council, or FSOC, released a report that considers the financial stability risks of crypto assets. In the report, the FSOC noted that financial stability risks of crypto assets are drawn mainly from interconnections with the traditional financial system.”

She went on to say, “The report identified vulnerabilities unique to crypto assets and recommended approaches to regulation and supervision in the future, highlighting the importance of ongoing research to improve our understanding of risks and opportunities, and planning to ensure we can continue to achieve our mission including supporting safety and stability in this evolving domain. The Fed also collaborates with other U.S. regulators on the topic of stability risks arising from digital assets, and coordinates with international authorities through forums including the Bank for International Settlements (BIS) and the Financial Stability Board.”

What is Digital Money?

Digital money, sometimes known as digital cash, or digital dollar is any kind of payment that is only available electronically. Digital currency is not a physical object like a coin or a dollar bill. Online systems are used for accounting and transfer. The digital currency known as Bitcoin is one of the more well-known types. Fiat money, like dollars or euros, can also be represented by digital money. Technologies like cellphones, credit cards, and online cryptocurrency exchanges are used to transact with digital money. In some circumstances, it can be changed into actual cash by using an ATM.

Understanding Digital Money

Cash maintained in online bank accounts is a type of digital money that is already used in society today. You can send or receive money from others using this method. Additionally, it is appropriate for online purchases. In that it can serve as a unit of account and a medium for regular transactions, digital money is identical to its physical counterpart in both concept and use. But it's not money. For instance, when you take money out of an ATM, it takes on a physical form, thus the dollars in your online bank account are not digital currency.

Digital money differs from physical money in that it streamlines the transactional process. For instance, compared to traditional money, the technological underpinnings of digital money can facilitate and expedite monetary transactions across borders. The mechanism for central banks to enact monetary policy is also made simpler by this type of money. Some types of digital currency employ cryptography to make its transactions censorship- and tamper-resistant, making it impossible for governments or private organizations to regulate them.

Given these benefits, the adoption of digital currency has elevated among various governments all over the world. Since 2017, the central bank of Sweden, a nation that is moving toward becoming a cashless society, has published a number of exploratory papers that examine the advantages and disadvantages of using digital currency in its economy. The DC/EP, China's digital version of its national currency, has already undergone pilot testing as mentioned above. And the digital version of the national money of the Bahamas is called the "sand dollar." The publication date was October 2020.

What Problems Does Digital Money Solve?

A number of systems already carry out transactions using digital money. Systems like credit cards, for instance, let customers buy products and services on credit. Cash may be sent across borders thanks to wire transfer technologies. Such transactions entail the usage of various processing systems, which makes them costly and time-consuming.

An illustration of such a group is the SWIFT system, a global network of banks and financial institutions that handles payments. Each transfer made through the SWIFT network is subject to fees. The SWIFT member institutions operate under a patchwork of laws, each of which is unique to a particular financial jurisdiction. Furthermore, the foundation of these systems is the expectation of future payments, which guarantees a lag between each transaction. For instance, users can make charge backs for transactions, and credit card reconciliation happens at a later time.

One goal of digital money is to eliminate the operating costs and time lag associated with such transactions by utilizing distributed ledger technology (DLT). A DLT system uses a network of interconnected nodes or shared ledgers to handle transactions. To reduce transaction processing times, this network can be expanded to include additional jurisdictions. By removing the requirement for a centralized database of records, it increases openness for authorities and stakeholders while strengthening the resilience of a financial network.
The double-spending issue is also resolved with digital money by utilizing an algorithmic consensus approach. Simply put, the prevention of the same digital “note” of money being used more than once.

Types of Digital Money

Digital money may be customized to fit many objectives and can take on different forms because of its technological foundation. The following three digital currency implementations are an example:

Central Bank Digital Currencies (CBDCs)

As discussed above, digital currencies issued by central banks are known as central bank digital currencies (CBDCs). They are distinct from fiat currencies, which are also obligations of the institution and are supported by the authority and credit of a central bank. By removing middlemen from the process and creating a direct line of communication between the government and the common people, CBDCs can facilitate the execution of monetary policy.

National currency distribution would no longer be carried out by banks and other financial institutions. There are two different sorts of CBDCs, depending on their use and method of implementation in the economy. Like fiat currencies, retail CBDCs are made to be used for everyday transactions. Wholesale CBDCs would be utilized for transactions between banks and financial institutions in a more constrained use of the idea.

Cryptocurrencies

Digital currencies created employing encryption are known as cryptocurrencies. A digital currency's crypto wrapper increases security and makes transactions impenetrable. Bitcoin and Ethereum are the two cryptocurrencies with the most users. The value of cryptocurrencies and the total market capitalization of the crypto markets have surged since cryptocurrencies became a popular investment class in 2017. As of November 5, 2022, according to a report by JC Market Research, the global cryptocurrency market is worth $1.41 trillion.

Stablecoins

A cryptocurrency variant known as stablecoins was created to address the price volatility of traditional cryptocurrencies. In order to maintain their price stability, stablecoins are compared to a type of private money whose value is linked to that of a fiat currency or a basket of goods. Except for the fact that they lack a governmental guarantee, they can serve as a stand-in for fiat currencies.

As of September 2022, there are almost 200 stablecoins distributed globally, some of which are already released and some of which are in development. Gemini Dollar (GUSD) and Paxos Standard (PAX), two stablecoins backed by the US dollar, have also been approved and regulated by the New York State Department of Financial Services.

Advantages of Digital Money

The modern financial system is a complicated network of various organizations. Due to the fact that financial institutions operate under various technological and regulatory frameworks, conducting a transaction between them requires time and money. The main benefits of digital money are cost savings and increased transaction speed. Here are some of the additional benefits of digital currency. Digital money does away with the necessity for physical safeguarding and storage, which is a feature of systems that rely heavily on currency. You may protect your money without spending money on a wallet or bank vaults. Accounting and record-keeping for technological transactions are made simpler by digital money. As a result, it is not essential to keep separate entity-specific ledgers or perform manual accounting to keep track of transactions.

Digital money has the potential to further disrupt the remittance sector by eliminating middlemen and lowering the costs involved with cross-border transfers, which has already reduced the time and cost required to send money across borders. Digital money eliminates middlemen in the application of monetary policy and enables the inclusion of previously excluded categories of people in the economy. For example, people who don't have bank accounts, can now participate in the economy by utilizing digital currency stored in their online wallets or mobile devices. The use of cryptocurrencies can make digital money transactions censorship-resistant, or resistant to being tracked by the government or other authorities if on a decentralized platform. Centralized platforms can be censored.

Disadvantages of Digital Money

The following are some drawbacks of digital currency: Hacking is possible with digital currency. Although digital money eliminates the need for physical safekeeping, its technological roots make it vulnerable to theft from digital wallets by hackers. Hackers have the ability to take down a seamless financial infrastructure made up of companies connected to the internet. An example would be the 2018 SWIFT cyberattacks, which had an impact on numerous nations. Large-scale hacks of digital currency have the ability to undermine a nation's financial system and endanger its national security.

The use of digital currency can jeopardize user privacy. Cash is anonymous, making it difficult to identify and track its users. Digital currency, on the other hand, can be tracked. Internet cookies allow for targeted advertising, but the effects on tracking digital currency are more extensive. Without the users' consent, groups or governments could, for instance, ban or freeze accounts. They might also start double-counting in bank accounts, which would raise costs while lowering the final sum.

CHAPTER 4

Many People Are Nearing Retirement Age

The "Baby Boomers" have worked long enough

However, a greater number of Americans are continuing to work beyond turning 65, reversing a trend that started in the middle of the 1980s. Men's labor force participation rates between the ages of 65 and 69 started to decline in the middle of the 1960s. They peaked in 1985 at 24 percent, but have since increased to roughly 37 percent. The labor force participation rate for women aged 65 to 69 climbed from 18% in 1964 to 28% in 2017.

More Older Americans Are Working Past Age 65

Over the past 25 years, researchers have found a number of factors, including the following that affect older people's decisions to put off retirement: Increased life expectancy and better health, particularly among those with more education. Changes in Social Security program incentives—an increase in the age to receive full benefits, credits for delaying benefit receipt, and a reduced tax penalty for working while receiving benefits. The elimination of mandatory retirement ages in most industries. A shift in employer-sponsored retirement plans—defined-benefit pensions that provide guaranteed payouts have largely been replaced by 401(k) plans with payouts that depend on how much the retiree saves and how well the investments do. Rising education levels—more-educated people are known to remain employed longer. Growing numbers of white-collar jobs, which older people are more physically able to perform. Declining availability of employer-provided health insurance for retirees. More women reaching older ages with longer work histories than previous generations. Financial losses and debt related to the Great Recession (2007 to 2009) putting pressure on older workers to stay on the job longer. The rising availability of part-time positions—In 2016, about 39 percent of employed adults ages 65 and older worked less than 35 hours per week, according to the U.S. Bureau of Labor Statistics.

However, as more members of the baby boom generation approach the typical retirement ages, researchers are divided on whether the increase in the number of older individuals in employment will continue.

Many of the aforementioned causes, according to some researchers, have already reached their peak. According to Boston College Professor Alice Munnell, defined-benefit pensions and employer-provided retirement health insurance are virtually nonexistent in the private sector. Additionally, educational attainment among those who are approaching retirement age has plateaued, improvements in health and longevity brought on by decreases in smoking and better medical care are being counterbalanced by rises in obesity, and blue-collar employment has been scarce for a generation.

Baby Boomers Set the Trends

Retirement at age 65 is one of many fads that a baby boomer, have seen come and go. Those who were born in 1954 can now retire at age 66. For those who were born in 1960, it increases by two months per year until reaching age 67. Pensions are now quite rare and Healthcare costs are still high. The idea behind 401(k) and IRA accounts was to serve as more contemporary pension substitutes. However, the median amount of money that baby boomers have saved for retirement is estimated to be $144,000, according to the 20th Annual Transamerica Retirement Survey of Workers, published by the Transamerica Center for Retirement Studies (TCRS) in May 2020 (the most recent figures as of November 2020). Without a doubt, that is a nice sum of money. However, in 2020, a 65-year-old man can expect to live 17.0 years, while a 65-year-old woman can expect to live 19.8 years. You might be asking how this is going to encourage you to reduce your concern. This is how: Think about how big the baby boom generation is. If you're a member, you're a part of a group that creates trends, and the current fashion is to continue to be involved in both job and leisure activities even after reaching full retirement age.

Retirement and Working Are Not Mutually Exclusive

Who actually retires these days? According to the TCRS survey, 68% of baby boomers intend to continue working after age 65 or never retire. Though it is a drastic departure from the way of thinking of their parents' generation, it is to be expected. “Baby boomers are pushing for substantial changes in current employment norms and establishing that retiring and working are not mutually exclusive,” wrote TCRS president Catherine Collinson. “[Baby boomers] are upsetting long-standing ideas about working until age 65.”

According to the report, many people truly desire to continue working in retirement because they enjoy it. However, the majority believe they will need to work in order to keep a

sufficient income and respectable health coverage. Happily, according to Mark Hebner, President and CEO of Index Fund Advisors Inc. in Irvine, California, “you can work and earn full Social Security payments just as long as you reach full retirement age.” If you are receiving Social Security disability or supplementary security income payments, he continues, you should exercise caution.

Adjust Your Work Schedule

Workers desire to keep using the abilities and knowledge they have acquired over their lifetimes as they near or reach full retirement age. However, the survey's findings suggest that people could want to switch to a job with fewer or more flexible hours, a more lucrative position in a similar industry, or even a second profession.

Although it seems attractive, your current employer can be the largest obstacle. Employers acknowledged the value of their elder workers' contributions in the TCRS survey but only in passing. The more experienced employees weren't necessarily as confident in their boss' sincerity, though. Specifically, 69% of baby boomers thought their companies were “age-friendly.” So you might have to take a chance and search for alternatives elsewhere.

You Can Start to Freelance

You might want to think about developing a freelancing career if you're unsure about continuing to work at your current position. And to get started, you don't have to go all out and quit your day job. Test the waters by showcasing your abilities on one of the many

websites that connect independent contractors with clients. The list provided by Entrepreneur.com is not exhaustive, but it will give you an idea of the chances that are now available to you owing to the internet.

You Can Lower Your Cost of Living

It is possible that you developed your way of life decades ago when you were starting or anticipated a fulfilling profession, a family, and a cozy home. Look about you and ask yourself if this is where you want to be for whatever you are starting now or whatever you are anticipating in the future. After all, your priorities are very different. It might not matter as much to live in an excellent school district anymore. Being close to places of cultural interest and entertainment could be what you want more.

You likely have too many things and too much space in your home. Your knees may have a difficult time climbing the stairs. Additionally, mowing the lawn isn't as simple (or enjoyable) as it once was. Find a new lifestyle that works for you. It will probably be less expensive, easing some of the financial strain on you and your family. It has long been projected that elderly Americans will downsize, but the baby boomers have once again defied predictions by choosing to stay put and finding enjoyment in life. According to research, the majority of retirees only require 60 to 80 percent of their preretirement income in their later years, says Hebner. "However, planning to further downsize can eliminate mortgage payments—which is one of the biggest expenses for most."

Retirement Abroad May Be an Option

As of February 2022, the Social Security Administration was sending approximately 710,000 payments to beneficiaries abroad, based on its own records. And the countries where the most retired U.S. workers are receiving benefits are Canada, Mexico, Japan, Germany and the United Kingdom. Most people's initial reason for retiring overseas is a desire to live more cheaply, but this shouldn't be the case. Living abroad is about living well, not only for less money. Americans can live in numerous locations across the world at a small fraction of the price and with all the necessary conveniences.

“It would probably be better for couples or for people to move abroad rather than to Florida,” says Teresa Ghilarducci, a professor of economics and a retirement security expert at The New School for Social Research in New York.

A study, “Use it or lose it: engaged lifestyle as a buffer of cognitive decline in aging?”, published in June 1999 showed that to prevent cognitive decline, it may be best to replace the brain activity you experienced during the workday with other activities in retirement. And you won’t have to search far for that type of stimulation as an international retiree.

CHAPTER 5

Investing Explained: Types of Investments and How to Get Started

*The information below is for educational purposes only. We are not financial advisors.

What Is Investing?

In general, investing is putting money to work over a period of time in a project or endeavor in the hopes of generating profits, over and above the amount of the initial investment. It is the act of allocating resources, typically capital, like money, with the hope of making money,

making gains, or making a profit. One can engage in a variety of activities (directly or indirectly), such as utilizing capital to launch a business or buying assets like real estate with the intention of renting it out and/or selling it at a profit in the future.

In contrast to saving, investing involves putting money to work, which carries an implied risk that the connected project(s) could fail and cause a financial loss. You may have heard the phrase, "Never invest more than you could lose." This means that if you cannot afford to be without your initial investment, then do not invest it because you could lose it. The other way that investing differs from speculation is that the latter involves wagering on short-term price swings rather than really putting the money to work.

Understanding Investing

A person invests to increase their money, over time. The fundamental tenet of investing is the expectation of a favorable return in the form of income or price appreciation with statistical significance. There is a fairly broad range of assets in which one can invest and generate a return. The acronym R.O.I stands for "Return on Investment" which is how much you will make over your initial investment amount.

In investment, risk and return are inversely correlated; low risk typically translates into low predicted returns, whereas larger profits are typically associated by increased risk. Basic investments like Certificates of Deposit (CDs) are at the low end of the risk spectrum; bonds or fixed-income instruments are at the higher end, and stocks or equities are seen as being

riskier. Generally speaking, commodities and derivatives are among the riskiest assets. Aside from investing in tangible assets like real estate or land, one can also do so in delicate things like fine art and antiques.

Within the same asset class, risk and return expectations can differ significantly. A micro-cap that trades on a tiny exchange will have a substantially different risk-return profile than a blue chip that trades on the New York Stock Exchange. Depending on the type of asset, different returns are produced. For instance, a lot of equities pay dividends on a quarterly basis, whereas bonds often pay interest on a quarterly basis. Different forms of income are taxed at various rates in many jurisdictions.

Price appreciation is a significant part of return in addition to regular income like dividends or interest. Thus, the total return on an investment can be thought of as the sum of income and capital growth. According to Standard & Poor's estimates, dividends have made up about a third of the total equity return for the S&P 500 since 1926, while capital gains have made up the other two-thirds. Therefore, capital gains are a crucial component of investment.

Types of Investments

The majority of financial instruments used today to raise and invest funds in enterprises are referred to as investments. These businesses then rake that capital and put it to work expanding or making money. Although there are many different sorts of investments, the following are the most typical ones:

Stocks
An investor who purchases stock in a corporation gains partial ownership of it. Shareholders are those who own a company's stock and can benefit from the company's expansion and success by increasing the value of their investment and receiving regular dividend payments from the company's earnings.

Bonds
Bonds are debt obligations of organizations like corporations, governments, and municipalities. A bond means that you own a portion of a company's debt and are qualified to receive periodic interest payments as well as the face value of the bond once it matures.

Funds
Investment managers manage funds, which are pooled instruments that let investors buy stocks, bonds, preferred shares, commodities, etc. Mutual funds and exchange-traded funds, or ETFs, are two of the most popular categories of funds. Mutual funds do not trade on an exchange and are valued at the end of the trading day; ETFs trade on stock exchanges and, like stocks, are valued constantly throughout the trading day. Mutual funds and ETFs can be actively managed by fund managers or can passively track benchmarks like the S&P 500 or the Dow Jones Industrial Average.

Investment Trusts
Another category of pooled investment is trusts. One of the most well-known types of securities in this group are real estate investment trusts (REITs). REITs engage in residential

or commercial real estate, and from the rental revenue generated by these properties, they distribute money to their investors on a regular basis. Due to their trading on stock exchanges, REITs give their investors the benefit of immediate liquidity.

Alternative Investments

Hedge funds and private equity fall under the umbrella term of alternative investments. The reason why hedge funds are so named is because they can utilize long and short positions in stocks and other investments to diversify their investing bets. Without becoming public, private equity enables businesses to raise financing. Typically, wealthy individuals who met particular income and net worth standards and were referred to as "accredited investors" were the only ones with access to hedge funds and private equity. Alternative investments have, however, recently been made available to retail investors in fund formats.

Options and Other Derivatives

Financial instruments known as derivatives derive their value from another instrument, like a stock or index. Popular derivatives like options contracts provide the buyer the option, but not the duty, to purchase or sell a security at a specified price within a predetermined window of time. Leverage is frequently used in derivatives, making them a high-risk, high-reward investment.

Commodities

Along with financial instruments and currencies, commodities also include things like metals, oil, grains, and animal goods. Commodity futures, which are contracts to purchase or sell a

specific amount of a commodity at a given price on a specific future date, or ETFs are the two ways they can be traded. Commodities can be traded for speculative or risk-hedging objectives.

Comparing Investing Styles

Let's compare a couple of the most common investing styles:

- **Active versus passive investing:** The goal of active investing is to "beat the index" by actively managing the investment portfolio. Passive investing, on the other hand, advocates a passive approach, such as buying an index fund, in tacit recognition of the fact that it is difficult to beat the market consistently. While there are pros and cons to both approaches, in reality, few fund managers beat their benchmarks consistently enough to justify the higher costs of active management.

- **Growth versus value:** Growth investors prefer to invest in high-growth companies, which typically have higher valuation ratios such as Price-Earnings (P/E) than value companies. Value investors look for companies that have significantly lower PE's and higher dividend yields than growth companies because they may be out of favor with investors, either temporarily or for a prolonged period of time.

How to Invest

Do-It-Yourself Investing

The answer to the question “how to invest” depends on whether you are a Do-It-Yourself (DIY) type of investor or would rather have a professional manage your money. Due to the low commissions and simplicity of trading on their platforms, many investors who prefer to handle their own funds have accounts at discount or online brokerages.

DIY investing, also known as self-directed investment, calls for a good deal of knowledge, expertise, time commitment, and emotional restraint. If you don't fit these descriptions, it could be a better idea to let a professional manage your money.

Professionally-Managed Investing

Wealth managers typically handle investments for investors who seek professional money management. AUM, or assets under management, is the standard proportion that wealth managers charge their clients as their fee. Even though hiring a professional money manager costs more than managing money on one's own, some investors are willing to pay for the ease of having an expert handle the research, investment decisions, and trading.

Roboadvisor Investing

Some investors decide which investments to make based on advice from computerized financial consultants. Roboadvisors, which use algorithms and artificial intelligence to generate recommendations, compile vital data about the investor and their risk profile. Roboadvisors, which operate with little to no human intervention, provide services akin to those of a human investment advisor at a lower cost. With technological developments, Roboadvisors can now do more than just choose assets. They can aid in the creation of retirement plans as well as the administration of trusts and other retirement accounts like 401(k)s.

Example of Return from Investing

Consider buying 100 shares of XYZ stock for $310 and selling it for $460.20 exactly one year later. What was your approximate total return, commissions excluded? Do not forget that XYZ does not distribute stock dividends. The capital gain as a result would be equal to (($460.20 - $310)/$310) x 100% = 48.5%.

Consider a scenario where XYZ has paid out $5 in dividends per share over the time you held the company. If so, your overall return would be roughly 50.11 percent (capital gains: 48.5 percent + dividends: ($500/$31,000) x 100% = 1.61%).

How Can I Start Investing?

You have two options for investing: you may do it yourself and choose investments based on your investing style, or you can work with a professional, like a broker or advisor. It's crucial to ascertain your preferences and risk tolerance before making an investment. Stocks and options may not be the ideal choice if you are risk averse. Create a plan detailing how much, how frequently, and in what to invest based on objectives and preferences. Make sure the target investment is in line with your plan and has the ability to produce the required results before committing your resources. Don't forget that you don't need a lot of money to start, and you can adapt as your needs do.

What Are Some Types of Investments?

There are numerous investment options available. The most popular ones are probably equities, bonds, property, and ETFs/mutual funds. Real estate, certificates of deposit, annuities, cryptocurrencies, commodities, collectibles, and precious metals are more investment options to think about.

How Can Investing Grow My Money?

Investments are not only for the wealthy. You can make little investments. You may, for instance, buy inexpensive stocks, put tiny sums of money into a savings account that pays interest, or save up until you have the desired sum to invest. Set aside small sums from your pay if your employer provides a retirement plan, such as a 401(k), until you can increase your investment. Your investment might have doubled if your employer takes part in matching programs.

You might start buying stocks, bonds, mutual funds, or even an IRA. $1,000 is hardly a little investment to begin with. In 1997, a $1,000 investment in Amazon's IPO would now be worth millions. This was mostly caused by a number of stock splits, but the outcome—impressive returns—remains the same. Most financial organizations provide savings accounts, which often don't require a sizable investment. Shop around to discover a savings account with the best features and the most affordable rates as savings accounts don't often offer large interest rates.

Unbelievable as it may seem, $1,000 can be used to purchase real estate. Although you might not be able to purchase an investment property, you can invest in a business that does. A business that invests in and manages real estate to increase profits and generate income is known as a real estate investment trust (REIT). You can buy REIT stocks, mutual funds, or exchange-traded vehicles with $1,000.

Is Investing the Same as Gambling?

No, gambling and investing are very different. When you invest, you put your money to work in ventures or pursuits that have positive expected returns, or returns that will be positive in the long run. Betting on the results of events or games is referred to as gambling. Nothing is being done with your money. Gambling frequently has a low expected return. Investments can lose money, but only if the project they are part of falls short of expectations. Contrarily, gambling results are entirely determined by chance.

The Bottom Line

The act of investing involves putting money into something to make money or make a profit. The type of investment you select may depend on your goals for the money and your risk tolerance. In general, taking on less risk results in lower returns, whereas taking on more risk results in higher returns. Stocks, bonds, real estate, precious metals, and other assets can all be invested in. One can invest using cash, assets, digital currencies, or other forms of trade.

The risks and benefits associated with various investment vehicles, including stocks, bonds, mutual funds, and real estate, vary. Investors have two options: they can invest on their own, without the assistance of a financial expert, or they can hire a qualified and registered investment advisor. Additionally, investors now have the option of using Roboadvisors to receive automated investment solutions.

The sum of money required for an investment mostly relies on the type of investment as well as the investor's financial situation, objectives, and aspirations. The minimum investment criteria for many vehicles have been reduced, nevertheless, making participation more accessible to more people.

Research your aim, as well as your investment manager or platform, regardless of how or what you decide to invest in. Warren Buffet, a seasoned and successful investor, once said, “Never invest in a firm you cannot comprehend.” This may be one of the best pearls of wisdom when it comes to investing your money.

CHAPTER 6

Referral Marketing (Sharing)

Referral marketing is a strategy for getting the word out about goods and services to potential customers. It is a thorough plan to persuade loyal clients and brand evangelists to recommend your company to their inner circles. These recommendations frequently come up out of the blue, but firms may control this by using the right tactics. Word-of-mouth marketing and referral marketing appear to be similar, but they differ significantly.

Referral marketing is more “intentional” than word-of-mouth marketing, which is the main distinction between the two. A company starts a referral marketing campaign on purpose. Businesses that use referral marketing actively urge their consumers to recommend them to their friends. Word-of-mouth advertising can be more impulsive and is frequently launched by satisfied customers rather than by the brand on purpose.

Why is referral marketing so powerful?

Humans are sociable beings by nature. We automatically tell our friends about our experiences. Referral marketing is effective because customers value other people's opinions more than they do the opinions of the brands themselves. We are naturally programmed to tell all of our friends about positive experiences. Why not, you ask? We want our loved ones to take pleasure in everything we've learned and accomplished.

Similarly, you can be sure we'll tell them about any negative experiences we had. After all, avoiding pain and frustration is best accomplished in this manner.
We learn how to prevent mistakes by studying those made by others.

How do you implement referral marketing in your marketing strategy?

- **Make the product experience shareable.** Your job is to find ways in which you can sprinkle that personality. You could add bits of that personality into your website design, your copy, your images, your product descriptions, and more.

- **Leverage the power of influencers and joint ventures.** We know that people trust recommendations from friends, and that they are relatively skeptical of celebrity endorsements. It turns out that people also trust "ordinary" influencers who do reviews, as long as they have built up credibility. Some companies even partner with complementary businesses to cross-promote to each other's customer bases. This strategy involves each business offering discounts or other incentives to customers from the referring company, typically in exchange for a percentage of sales from the referred business.

- **Provide exceptional customer service.** This is how you get happy customers. Happy customers share more. Take care of them, and they will take care of you.

- **Ask for referrals.** This simple and effective strategy involves mentioning a referral program to as many customers as possible.

- **Train employees.** In conjunction with asking for referrals, many companies have a training process that equips employees with the knowledge to effectively market the referral program to each and every customer.

- **Create viral content.** There are three important rules to follow when creating content in hopes of making it go viral:

- Find content that has performed well in your industry
- Improve said content by making it yours
- Promote your beautiful content to your followers

Who can use referral marketing?

Any kind of business can take advantage of referral marketing. This kind of marketing strategy can be very effective for businesses like small single-owner and entrepreneur companies all the way to large corporations. Many businesses that offer products or services can implement referral marketing campaigns.

Some types of businesses that typically employ referral marketing include:

- Retail stores
- Specialty stores
- Restaurants
- Online Affiliate Marketing Programs
- Automotive service companies
- Airports, hotels, and travel agencies
- Banks

- Health clubs and gyms
- Doctors, dentists, and health professionals

You don't have to be a company to use referral marketing.

Perhaps, you have considered venturing into an online platform where you can earn money online, working from home. There are some online opportunities that will pay you a commission when you share the opportunity with others. And the online opportunities are ample and varied, so you will need to do your due diligence, as to avoid online scams.

But when you find an opportunity that you are confident about and want to share it with others, then you also have to chance to employ some of the referral marketing techniques mentioned above.

CHAPTER 7
The Main Thing is to Take Action

We cannot accomplish anything without doing something. You need to take action on a consistent basis if you want to accomplish anything. It is not enough to just have the goal in your mind, you have to put yourself out there and try new things. You have the opportunity to create the life you desire but you must begin to do the things that will get you there.

With the information that is now at your disposal, we hope that you will be able to make calculated decisions about your financial future and live life on your own terms.

The ***Global Relief Initiative*** of Beyond infinity was created to help you learn how to generate wealth and what you can do to keep it. And while it is not exhaustive, it is enough to get you going, no matter where you are in life. It is our goal to get this eBook into the hands of everyone, everywhere to help relieve the financial stresses that we have been under and are continuing to experience. But regardless of the global economy, you do not have to be a victim. You can begin, right now, creating a victorious life.

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